THE ENLARGEMENT OF THE EUROPEAN SPACE AGENCY - LEGAL ISSUES

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Following the accession of Austria and Norway to its Convention on 1 January 1987, the European Space Agency (ESA) groups together thirteen Member States.[1] On the same date, the Agreement between Finland and the European Space Agency granting Finland the status of Associate Member entered into force.[2] Together with the Cooperation Agreement between Canada and ESA,[3] fifteen States have a permanent interest in ESA's activities and programmes; others could occassionally be involved through their participation in optional programmes, for example, the operational Meteosat programme carried by ESA as an optional programme pending the entry into force of the Eumetsat Convention[4] has involved sixteen participating States.[5]

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1. The thirteen ESA member states include: Austria, Belgium, Denmark, France, Germany, Italy, Ireland, the Netherlands, Norway, Spain, Sweden, Switzerland, and the United Kingdom.

2. Association Agreements between ESA and Finland *concluded in* September 1986, *entered into force* January 1, 1987, ESA BASIC TEXTS (ESA Legal Affairs ed. 1987) [The Agreements and Council papers mentioned in this article could not be cited by page number since they are not public documents and are available only to ESA delegations. Ed.]

3. Cooperation Agreement between ESA and Canada *concluded in* 1978 *and later renewed*, ESA BASIC TEXTS.

4. ESA BASIC TEXTS. *See* Lafferranderie, *L'Apport du Programme Meteosat Operationnel sur le plan juridique*, ESA BULL. 68 (No. 37, Feb. 1984) (Contribution of the Operational Meteosat Programme to the juridical plan).

5. The sixteen states participating in the Meteosat programme include Finland, Portugal, and Turkey in addition to the ESA member states.

This enlargement of ESA is quite remarkable. One can remember that six States were originally members of ELDO,[6] ten of ESRO.[7] The ESA Convention required for its entry into force the signature of Belgium, Denmark, France, Germany, Italy, Netherlands, Spain, Sweden, Switzerland, the United Kingdom, all former members of ESRO or ELDO[8] - Australia withdrew from ELDO (on 1 January 1975) before the opening for signature of the ESA Convention.

Thus, the "enlargement of the Agency", *i.e.* the participation by different countries in the Agency's programmes and activities, has taken two forms:

- admission as a Member State (article XXII of the ESA Convention), as was the case for Austria and Norway;

- participation in the activities and programmes of the Agency (Article XIV), as either a "cooperating" State (Canada), a State participating in an optional programme (as non-Member States (Canada and Finland)), or as an associate member or observer.

Within the latter category different degrees of cooperation are established. The use of this range of forms of cooperation raises the issue - which is a political one - of optimum participation., *i.e.* the limit to which the Agency can expand and still continue to achieve the objectives assigned to it. This possible limit to the Agency's expansion also raises questions regarding the functioning and decision-making of the Agency. The European Space Agency is by definition a "limited" organization, this is due, in particular, to the mission of ESA "to provide for and to promote among European States cooperation in space research and technology and

6. ELDO Convention, 507 U.N.T.S. 177 (1964); J.O.R.F. 10339 (Nov. 23, 1965). The ELDO membership included Australia, Belgium, France, Germany, Italy, and the United Kingdom.

7. ESRO Convention, 6258 U.N.T.S. 35 (1965); J.O.R.F. 5589 (June 27, 1964); 4 I.L.M. 306 (1965). The ESRO membership included Belgium, Denmark, France, Germany, Italy, the Netherlands, Spain, Sweden, Switzerland, and the United Kingdom.

8. *See supra* notes 6-7. These conventions are also reproduced in N.M. MATTE, AEROSPACE LAW, ed. Pedone- annexes X - XI (1969); E.N.T.I. Spaziali Internazionali - Statuti e documenti - Annessi - Padova, Cedam, 1962.

their space applications."[9] Such a cooperation requires a minimum level of technology and industrial capacity of Member States.

This study will be limited to the various forms of enlargement and to recent examples of their implementation.

1. Admission

The Convention lays down a procedure for admission through accession following a unanimous Council decision on the membership application.

According to the relevant provision:

> 1. After the entry into force of this Convention, any State may accede thereto following a decision of the Council taken by a unanimous vote of all Member States.
>
> 2. A State that wishes to accede to this Convention shall notify the Director General, who shall inform the Member States of this request at least three months before it is submitted to the Council for decision.[10]

Although this article contains no qualification, it must be emphasized that article II of the Convention requires the Agency to provide for cooperation among "European States"; the Preamble also makes reference to the desire "to pursue and to strengthen European cooperation" and to "European countries". The links between the Preamble and articles II and XXII limits the possibilities of admission. The status of Member State, as defined in the Convention is acquired upon deposit of the instrument of accession (France being the depositary) - obligation to contribute to at least the mandatory activities of the Agency

9. ESA Convention, art. II, J.O.R.F. (December 14, 1980); Bundesgesetzblatt (No. 61) (Nov. 26, 1976). *See also,* N.M. MATTE, AEROSPACE LAW (1977).

Article III states: "The purpose of the Agency shall be to provide for and to promote, for exclusively peaceful purposes, cooperation among European States in space research and technology and their space applications, with a view to their being used for scientific purposes and for operational space applications systems." *Id.*

10. ESA Convention, art. XXII.

(general budget and science programme according to a scale based on gross national product), voting rights, etc.[11]

Since Council is required to take a unanimous decision,[12] it is presumably entitled to place certain conditions upon admission. The Convention itself requires only a special payment related to the current value of the Agency's assets ("entrance fee") fixed by a two-third majority of all Member States.

> Any State that was not a party to the (ESRO) Convention ... or to the (ELDO) Convention ... and which becomes a party to this Convention shall make, in addition to its contributions, a special payment related to the current value of the assets of the Agency... (art. XIII, 4. a.)

The following criteria could be considered:

- pro memoriam, the properties of statehood and "European-ness" (an international organization cannot be admitted as a Member);
- the fact of belonging to the community of interests of the present Member States, *i.e.* those of the founder Member States;
- belonging to the community of interests of the Member States entails acceptance of the Agency's objectives and a manifest desire to integrate with the Agency and strenghten it;
- an appropriate level of industrial infrastructure.

Before becoming full Member States, Austria and Norway were linked to the Agency through Association Agreements. The Association Agreement between the Agency and the Republic of Austria was signed on 17 October 1979 (entered into force on 1 April 1981) and was revised by an Agreement signed on 12 April 1984 (entered into force on 1 May 1985).[13]

Similarly, Norway enjoyed the status of Associate Member of the Agency pursuant to an Agreement signed on 2 April 1981, entered into force on 1 November 1981 and amended later on 24 October 1985.[14]

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11. ESA Convention, art. I, para. 3 provides: "All Member States shall participate in the mandatory activities referred to in Article V.1.a. and shall contribute to the fixed common costs of the Agency, referred to in Annex II." *Id.* In particular, the mandatory activities cover the scientific program and basic activities such as studies of future projects and technological research work. The content of common costs is detailed in the Financial Rules, and are the costs associated with the functioning of an international organization.

12. ESA Convention, art. XXII.1

13. *See supra* note 2.

14. *Id.*

It must be underlined that Austria and Norway were invited to join ESRO from the beginning and were represented in the Plenipotentiary Conference but finally were not in a position to sign the Convention. However, Austria and Norway took part in some ESRO programmes and increasingly participated in ESRO/ESA activities and programmes such as Spacelab, or the Olympus programmes (Austria) and MAROTS and other communications programmes (Norway). These Association Agreements were concluded for a period of five years; their content followed largely a pattern elaborated for the Cooperation Agreement conluded between ESA and Canada in 1978. The Association Agreement with Austria provided for the possibility of Austria acceding to the Convention.[15]

After 20 years of relations with the Agency and of increasing participation in the Agency's programmes, it was judged that the time had come to examine the possibility of a change in the relationships. In February 1985, Austria and Norway applied to become full ESA Members and the Council of the Agency received favorably these requests and approved the Accession Agreements in October 1985. Agreements between Austria, Norway and the Agency were signed on 12 December 1985. The purpose of these Agreements was to determine the terms and conditions of their respective accessions and, in addition, to develop transitional measures. The "Association" Agreements in force were extended (for some months) up to the date of entry into force of the Agency's Convention for these new members and, at the latest, until 31 December 1986, the date envisaged for the deposit of the ratification instrument of the ESA Convention; should the instrument not have been deposited by this date, the terms and conditions would have been open to renegotiation. During this transitional period, Austria and Norway were considered as far as possible as Member States.

Austria and Norway were invited to take all necessary steps in order that accession would occur before 1 January 1987.

Austria and Norway were placed in the same situation as the other Member States with regard to decisions, rulings, resolutions or any other acts made by the Council and invited to take all appropriate measures to adapt their internal legislation and rules to the rights and obligations resulting from their accession.

A number of debates were necessary to achieve a consensus among Member States on the amount to be retained as "special payment". How should the "current value of the assets of the Agency be calculated? How should "assets" be defined? How could previous payments made through contributions to the optional programmes be taken into account? Finally, an "entrance fee" was retained and the deposits of the ratification instrument were performed on 30 December 1986. The date of entry into force of the Agency's Convention for Austria and Norway had the effect of terminating the previous Arrangements concerning their participation in

15. *Id.*

certain optional programmes, the participation being therefore solely governed by the Declaration previously accepted.

2. *Associate Membership - A Form of Cooperation*

The concept of Associate Member appears in Article XIV of the ESA Convention, entitled "cooperation". Article XIV 3, lays down that:

> Such cooperation may also take the form of according associate membership to non-member States which undertake to contribute at least to the studies of future projects under Article V. 1. a. i. (of the Convention- on one of the items belonging to basic activities). The detailed arrangements for each such associate membership shall be defined by the Council by a two-thirds majority of all Member States.

This article XIV was taken unchanged from a provision drawn up when the ESRO Convention was revised in July 1972.[16] The ESRO[17] and ELDO Conventions[18] accorded some non-Member States observer status. This is the status that the drafters of the revised text of the ESRO Convention, and subsequently the ESA Convention, wanted to replace by Associate Member status. An observer was not obliged to make any contribution, but could follow discussions and be informed about the Agency's activities and programmes. The Associate Member turned into an observer bound to pay a specific contribution. The prime objective was to get the observer to express real interest in the Agency's activities and programmes and to demonstrate it by making a contribution, however small. Nevertheless, the observer status did not disappear - it has been reinstated by the rules of procedure of the Council. Rule 23.1 stipulates that "The Council may, by unanimous decision, grant observer status ... This status includes the right to be represented in meetings of the Council." To date, no Member State has been granted this observer status

16. The process of revising the ESRO Convention was abandoned, all the amendments being finalized, due to the decision to embark on the drafting of a new convention for the establishment of ESA. Nevertheless, the work done was not lost. The draft of the revised ESRO Convention was the basis for drafting the ESA Convention. H. Kaltenecker, *The Reform of the European Space Research Organization* - IISL Vienna - Oct. 1972.

17. ELDO Convention, *supra* note 6. The observer status has been granted twice to the European Community Commission at the EJA Council meeting at ministerial leverl (Rome January 1985 The Hague November 1987).

18. ESRO Convention, *supra* note 7.

on this sole basis (observer status is given through cooperation - or Association Agreement).[18a]

The Associate Member "status" is not defined by the Convention; its understanding has evolved and the Council has finally adopted guidelines to be used when negotiating the arrangements with a non-Member State.

The first case of implementation (de facto) of this article XIV.3 was that of Ireland, which had signed the ESA Convention on 31 December 1975 but which could not become a Member State until the Convention entered into force and until its own ratification instruments had been deposited. To take into account these constraints, a specific Agreement was concluded in November 1976 between ESA (ESRO conducting its activities under the name of ESA) and Ireland.[19] In pursuance of Article 1 of this Agreement, its purpose was to define the conditions governing the "association" of Ireland with the Agency's activities. This Agreement was drawn up in the context of Ireland becoming an ESA Member State (already signatory of the Convention).

A request for associate membership came from Canada in July 1977. It was not accorded on the grounds in particular that as the ESA Convention was not in force and as this nation was not included in the ESRO Convention, which served as the legal basis for the Agency's activities, something that did not have a legal existence could not be accorded. It was therefore a Cooperation Agreement that was concluded on 9 December 1978 (entered into force on 1 January 1979) for a period of five years and renewed at a later date for a further period of five years.[20]

Subsequently, requests were made by Austria and Norway. Negotiations with these countries began before the Convention entered into force. The Association Agreement with Austria was signed on 17 October 1979 (prior to the Convention formally entering into force 30 October 1980) and the Agreement with Norway was signed on 2 April 1981.[21]

18a. The observer status has been granted twice to the European Community Commission at the ESA Council meeting at ministerial level (Rome - January 1985 -The Hague -November 1987.

19. Agreement between ESA and Ireland *concluded in* November 1976, ESA BASIC TEXTS.

20. *See* Bourély, *La participation du Canada aux programmes de l'Agence Spatiale Européenne,* 5 ANNALS AIR & SPACE L. 363 (1980); Bourély, *Le Canada et l'Agence Spatiale Européenne,* 4 ANNALS AIR & SPACE L. 347 (1979); Bourély, *Les relations privilegiées de l'Agence avec certains Etats nnn membres,* ESA BULL. (No. 21, Feb. 1980); Bourély & Lafferranderie, *Les organisations de l'espace - Jurisclasseurs de droit internationaal,* FASCICULE 195 (Paris 1981).

21. Association Agreement between ESA and Austria *concluded on* October 17, 1979, ESA BASIC TEXTS (ESA Legal Affairs 1987 ed.)

Article 1 of the Austrian Association Agreement solved the problem as follows:

> The purpose of this Agreement is to define the conditions governing the association of the Republic of Austria with the Agency. Once the Convention of 30 May 1975 and this Agreement will have both entered into force, the Republic of Austria shall be considered as an Associate Member of the Agency within the meaning of Article XIV.3 of the Convention." (This Association Agreement entered into force on 1 April 1981).

It should be pointed out that when Austria and Norway were granted Associate Member status, both countries were already participating in several ESA optional programmes, intended taking part in new programmes and, as European States, did not rule out acceding to the Convention at later date.

In the basis of these two Association Agreements, granted to Western European countries, the associate membership status would have had the following characteristics:

- payment of a contribution to the studies of future projects; this financial solution was amplified to include a contribution to two other outputs ("education" and "Earthnet") and a contribution to the "net fixed common costs" (the first items on the basis of average national income and the second at 1%);

- the possibility of participating in optional progammes (subject to detailed arrangements approved by the Participating States);

- the possibility of having two representatives in Council or in subsidiary bodies - who may have the right to vote on issues connected with the programme/outputs to which the Associate Member contributes and the right to be heard on other issues;

- access to information and scientific satellite data. In addition, the Agency puts in as much effort to ensure that Associate Members get a fair industrial return as it does with the Member States.[22]

An associate member is invited to use the Agency's facilities and the products developed by it and its Member States. These two Association Agreements were concluded for a period of five years, provided for a review after three years to examine the possibilities of its continuation,

22. *Id.;* Association Agreement between ESA, Norway and Austria *concluded on* April 2, 1981, ESA BASIC TEXTS.

outright termination, renewal or full membership (renewal was not provided for in the Association Agreement with Norway). Under these two Agreements, associate membership was regarded, as a stepping stone to full membership, as a transitional, educational phase that should lead to full membership.

An event, namely the formal request made by Finland in December 1984, to be granted such associate member status, lead the Council to define the meaning of the expression used in article XIV.3 of the Convention.[23] In February 1985, the Council set up an ad hoc Working Group to look into the issue of associate membership. The Group's conclusions were adopted by Council in October 1985 together with guidelines.[24]

Finland having renewed its request to become an associate member, the Agency entered into negotiations on that basis with the Finnish authorities. In June 1986, the Council authorised the Director General to sign the Association Agreement. The Agreement was signed in Helsinki on 19 September 1986 together with two other Agreements, one on the participation of Finland in the ESA science programme, the other concerning the participation of Finland in the earth observation preparatory programme.

When defining the meaning of associate member, two approaches were discussed in the Council Working Group:

- associate membership, as a preliminary to accession. In such a case, this status should only be granted to a "European" State and should contain a time limit;

- associate membership, as a form of cooperation, offered to any non-Member State and decoupled from accession.[25]

Finally, a consensus was reached on a separation of the two concepts of associate membership and accession - associate membership is not a preliminary to accession, it neither leads automatically to accession nor extends it.[26] Accession will require a unanimous vote.

Associate membership is and remains a qualified form of cooperation, which can be granted to any non-Member State whether European or not. It will reflect a certain level of cooperation and, therefore, has political significance. This status will correspond to the situation of countries, European or not, that wish to establish relatively close links

23. ESA Council papers.

24. *Id.*

25. *Id.*

26. *Id.*

and actively cooperate with the Agency, but which, even in the long term, could not be expected to fulfill the conditions for accession.

The guidelines endorsed by Council for negotiating an Association Agreement[27] focus on the following points:

- the associate member shall participate in the expenditure entered in the general budget of the Agency and shall contribute a fraction on the basis of its average national income at factor cost (like any Member State);

- the associate member shall not have the right to participate in the basic technology research programme (reserved for Member States);

- it may participate in projects conducted under the Agency's scientific programme by providing experiments or observation facilities;

- the associate member shall have observer status on the Council with respect to items of common interest. It may not be invited to attend meetings of subsidiary bodies. It shall not have voting rights;

- the associate member may have access to the facilities and services of the Agency. It shall bear the cost incurred in accordance with the rules and procedures applicable to Member States;

- it may be entrusted with the execution of work under the Agency's programmes without any guarantee of industrial return on its financial participation;

- it shall favor the use for its own needs of European space transportation systems and the facilities and products of the Agency.

Associate membership shall be accorded for a period in principle of not less than five years. Such membership may be renewed for a subsequent period by written agreement at least six months before the expiry date. Participation in an ESA optional programme would be encouraged.

The Council has tried to keep associate membership attractive to both the associate member and the Agency, to enable the associate member to participate in the functioning of the Agency, whilst retaining a less favorable status than that of a Member State.

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27 *Id.*

3. Participation in programmes

Participation in either the Agency's science programme or in an optional programme represents the ordinary and principal way of participating in the Agency's programmes and activities.

Participation in an optional programme is open to non-Member States and to international organizations (associate membership is reserved to non-Member States only). A non-Member State may take part in one or more programmes, for example, Finland is participating in the science programme (one of the mandatory programmes) and in the Earth Observation Preparatory Programme.

Subject to a decision to be taken by Council by unanimity on the principle, the rights and obligations of participating States are defined in an Agreement concluded between the Agency and the non-Member State concerned. This Agreement defines the modalities approved by the Participating States. The status of "Participating State" does not, in practice, differentiate between Member or non-Member State. All participating States (even non-Member States) have the same right to vote, attend meetings of the body ("Programme Board") in charge of monitoring the programme and also benefit from the Agency's obligation to ensure an industrial return in proportion to a country's contribution. The non-Member participating in an optional programme will, through the participation Agreement, accept the terms of the legal instruments which, according to the ESA Convention, govern the execution of the programme, i.e. the Declaration and the Implementing Rules.[28]

In conclusion, the ESA Convention offers an interesting equilibrium between, on the one hand, a controlled enlargement by accession (membership is quite limited and should remain attractive) and on the other, the possibility of various levels of international cooperation in the form of involvement in the Agency's activities and programmes.

A non-Member State can be in one of the following situations as regards its relations with the Agency:

- a cooperating State (article XIV.1 allows for various forms of cooperation agreements - from an "umbrella" agreement to a close cooperation, such as that with Canada);
- a participant in an optional programme;
- an associate member;
- or even an observer.

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28. *See* ESA Convention, Annex III (Declaration and Implementing Rules).

A non-Member State can, if necessary, be in more than one situation at the same time.

It is the duty of the Council to treat with caution these various forms of enlargement of the Agency and to reconcile the strenghtening of the Convention's objectives with the necessity of international cooperation.